



HSS C013 (Social & Business Etiquette)

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What will be covered today

- ❖ **Ethics in Business World**
- ❖ **Why Fostering Good Business Ethics Is Important?**
- ❖ **Gaining the Good Will of the Community**
- ❖ **Corporate Social Responsibility (CSR)**
- ❖ **Creating an Organization that Operates Consistently**

Ethics has risen to the top of the business agenda because the risks associated with inappropriate behavior have increased, both in their likelihood and in their potential negative impact.

Several trends have increased the likelihood of unethical behavior:

- First, for many organizations, **greater globalization has created a much more complex** work environment that spans diverse cultures and societies, making it more difficult to apply principles and codes of ethics consistently.
- Second, in today's difficult and uncertain economic climate, organizations are extremely **challenged to maintain revenue and profits.**

Ethics in Business World (Cont'd)

Employees, shareholders, and regulatory agencies are increasingly sensitive to violations :

- ✓ accounting standards,
- ✓ failures to disclose substantial changes in business conditions,
- ✓ nonconformance with required health and safety practices, and
- ✓ production of unsafe or substandard products.



increasingly sensitive(heightened vigilance)

Ethics in Business World (Cont'd)

Recent scandals in IT companies

- Satyam Computer Services (India)
- Hewlett Packard
- Computer Associates International – IBM

Not just executives, but even lower-level employees, can find themselves in the middle of an ethical dilemma



Satyam Computer Services (India)

- the former chairman and CEO of Satyam Computer Services, from 1987 until 7 January 2009

Action to him

A special court under India's Central Bureau of Investigation (CBI) on April 10 held the founders and former officials of outsourcing firm, Satyam Computer Services, guilty in an **accounting scam** worth Rs7,000 crore (\$1.1 billion). He has been sentenced to seven years in jail.

Scenario of Hewlett Packard

non-executive chairman of the board of Hewlett-Packard (HP) from February 2005 until September 22, 2006, when she resigned her position.

Story of scandals

HP chairwoman had contracted a team of independent security experts to investigate board members and several journalists in order to identify the source of an information leak.

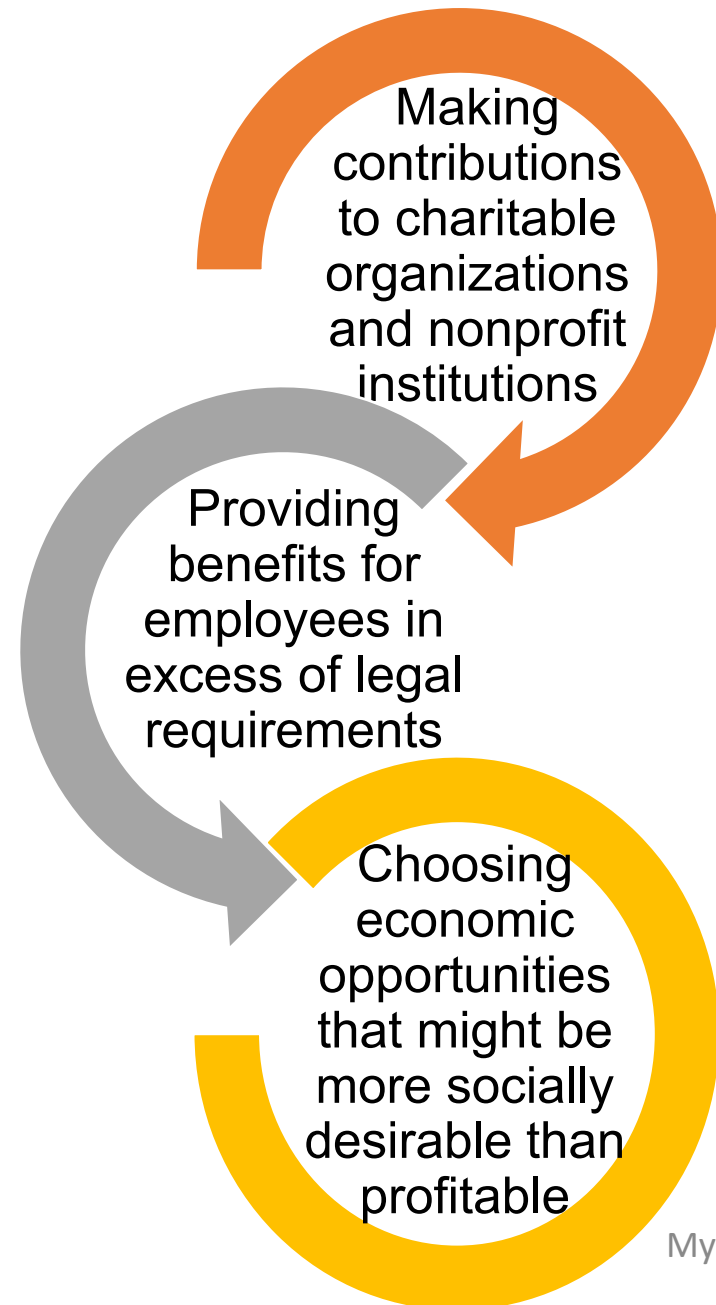
Why Fostering Good Business Ethics Is Important?

- 1 To gain the good will of the community
- 2 To create an organization that operates consistently
- 3 To foster good business practices
- 4 To protect organization/employees from legal action
- 5 To avoid unfavorable publicity



Gaining the Good Will of the Community

- ❖ Organizations have fundamental responsibilities to society
 - Declared in formal statement of company's principles or beliefs



Gaining the Good Will of the Community(Cont'd)



Socially responsible activities create good will



Good will makes it easier for corporations to conduct business

Corporate Social Responsibility (CSR)

Organization taking responsibility for the impact of its actions on the:



Environment



CSR
Corporate
Social
Responsibility



**Welfare of its
Employee**

Supply chain sustainability:

A component of CSR

- focuses on developing and maintaining a supply chain
- meets the needs of the present without compromising the ability of future generations to meet their needs



Creating an Organization that Operates Consistently

- ❖ Consistency ensures that employees:
 - Know what is expected of them
 - Can employ the organization's values to help them in decision making
- ❖ Consistency also means that shareholders, customers, suppliers, and community know what they can expect of the organization

Creating an Organization that Operates Consistently (Cont'd)

- 1 Operate with honesty and integrity, staying true to organizational principles
- 2 Operate according to standards of ethical conduct, in words and action words and action
- 3 Treat colleagues, customers, and consumers with respect
- 4 Strive to be the best at what matters to the company
- 5 Value diversity
- 6 Make decisions based on facts and principles

SUMMARY



- ❖ Ethics in the Business World : Why Fostering Good Business Ethics Is Important
- ❖ Gaining the Good Will of the Community
- ❖ Corporate Social Responsibility (CSR)
- ❖ Creating an Organization That Operates Consistently

References

1. “Ethics in Information Technology” by George W. Reynolds, Fifth Edition
2. BOS Lectures
3. Images are from Google.